

Nike Credit Stress Test

<u>Assumptions</u>	<u>Moderate</u>	<u>Severe</u>	<u>Covenant</u>	<u>Value</u>
Revenue Decline	10%	20%	Total Debt / EBITDA	2.50×
EBITDA Decline	20%	40%	Debt Basis	Total Debt
			EBITDA Basis	Last Twelve Months EBITDA
			Testing Frequency	Quarterly

<u>Metric (in USD millions)</u>	<u>Base</u>	<u>Moderate</u>	<u>Severe</u>
Revenue	46,309	41,678	37,047
EBITDA	4,477	3,582	2,686
Total Debt	7,961	7,961	7,961
<u>Debt / EBITDA</u>	<u>1.78 x</u>	<u>2.22 x</u>	<u>2.96 x</u>
	(Pass)	(Pass)	(Fail)

Key Findings

Under the moderate stress scenario, Debt/EBITDA increases from 1.78× to 2.22×, remaining below the proposed 2.5× covenant.

Under the severe stress scenario, Debt/EBITDA increases to 2.96×, exceeding the proposed covenant.

Nike appears capable of supporting the proposed loan under moderate stress but may require tighter loan terms or additional protections under severe stress.